PRIME on Kamino

Institutional-Grade HELOC Yield,
Amplified On-Chain

February 2026 | Confidential

kamino

Real Yield.
Real Collateral.
Real Exit.

What PRIME Is

A yield-bearing token backed by short-term US HELOC warehouse lending. Delivers 8-9% APY from real homeowner interest payments — not token emissions, not trading fees, not speculation. 100% backed by US Treasury bills under SEC-registered custody.

How The Yield Works

T-bill base yield (4-5%) enhanced by warehouse spread (3-4%) earned during the ~42-day hold period before HELOCs exit to AAA-rated securitization. Yield accrues as price appreciation — the vault holds more backing per PRIME over time.

Why Kamino

Kamino Multiply amplifies PRIME yield to 11-21% APY via positive carry — borrowing stablecoins at 5-7% against an asset yielding 8-9%. $550M market built in under 3 months with zero incentives. Most popular RWA on Solana.

PRIME at a Glance

PRIME replaces Wall Street warehouse lenders on-chain — a structurally short-duration exposure to high-quality US consumer credit with T-bill capital preservation and full DeFi composability.

~8-9% Base APY from HELOC warehouse lending	**$300M** Market capitalization on Solana	**744+** Weighted average FICO score
~42 days Average warehouse hold period	**<1.75%** Peak severe delinquency, all vintages (2019-2025)	**7.1 / 10** Independent risk rating (A) — Allez Labs

How PRIME Works

~42 Day Exposure Window

PRIME lenders are exposed only to the warehouse window — not the 25-year life of the HELOC. By the time a borrower makes their second payment, the loan has already been sold to institutional buyers.

01

Figure originates HELOCs to prime US borrowers — 744+ FICO, 62% CLTV, $709K average home value.

02

Licensed originators post HELOCs as collateral into the warehouse facility at 90% LTV with full recourse.

03

DeFi lenders provide capital via hourly Dutch auction and earn 8-9% yield from borrower interest payments.

04

Every ~42 days, HELOCs exit to AAA-rated securitization. Warehouse repaid, fresh loans cycle in.

05

Yield flows to Solana as the PRIME token via Chainlink CCIP bridge. Fully composable across DeFi.

Figure Technology Solutions

Nasdaq: FIGR • Largest non-bank HELOC originator in the US

$505M+ FY2025 Revenue	**$132M** FY2025 Net Income
$1.1B Cash Position	**$22B+** Total Originated

IPO underwritten by Goldman Sachs, Jefferies, BofA Securities.
Securitization partners: Goldman Sachs, JPMorgan, Barclays.

7-Year Through-Cycle Track Record

2020-2021 (COVID): Continued originations, <2% delinquencies. No capital losses.

2022-2023 (Rate hikes 0→5.25%): Some unprofitable quarters, zero capital losses to investors.

2023 (Banking crisis): Maintained securitization access throughout.

H2 2025: $946M in AAA-rated securitizations. 58% net margin.

FY2025: $8.4B marketplace volume (+63% YoY). Q4 volume $2.7B (+131% YoY).

Collateral Quality & Credit Performance

Borrower Profile

Weighted Avg. FICO	**744-754**
Average Home Value	**$709,085**
Average Borrower Income	**$182K-$195K**
Combined LTV	**62-65%**
Debt-to-Income	**36.6%**
Weighted Avg. Coupon	**9.0-9.2%**
Average Loan Size	**~$90,000**
Loan Type	**Fixed-rate, fully amortizing**

744+ FICO = ~60th percentile of US credit scores. Firmly prime — well above the subprime borrowers that drove 2008 losses.

Historical Loss Performance

Cumulative severe delinquency (180+ DPD) across **all vintages 2019-2025 peaks below 1.75%**. This is the standard measure used in structured finance — effectively a proxy for default.

Realized cumulative gross loss across all Figure originations: <1.25%

All vintage curves flatten — the loss window is finite. Recent vintages (2024-2025) track at or below prior cohorts despite macro headwinds.

Performance is consistent across all macro environments: pre-COVID (2019), COVID (2020), rate shock (2022), elevated rates (2024-25).

Securitization exit consistently receives AAA ratings from S&P, Moody's, DBRS Morningstar, and KBRA.

Built for Capital Preservation.

Risk manifests as yield volatility, not capital loss. Multiple independent protection layers from warehouse to regulatory to custody.

Overcollateralization & Auto-Markdown

HELOCs valued at $1.03 enter at $1.00; max advance $0.90 (90% LTV). Any HELOC 30+ days delinquent is immediately marked to $0. At 93% LLTV breach, collateral is seized and auctioned. Full recourse to licensed originators.

SEC 1940 Act Registration

YLDS is the first SEC-registered yield-bearing stablecoin. Daily NAV mandated by SEC. Public prospectus. Independent directors. Contractual redemption rights enforceable in federal court. Same framework governing mutual funds.

Qualified Custody (UMB Bank)

70-year-old Fed-regulated national bank. $70B+ assets under custody. Overseen by Federal Reserve and OCC. Segregated, bankruptcy-remote structures. Daily reconciliation and independent verification.

Short Duration (~42 Days)

Exposure rolls continuously through the warehouse window. By the second borrower payment (~day 60), the HELOC has already been securitized and exited PRIME. No long-duration credit risk.

PRIME Multiply on Kamino

Amplify PRIME yield through positive carry — the rational spread between collateral yield and borrow cost.

How It Works

1. Deposit PRIME as collateral (earning ~8% base yield)
2. Borrow stablecoins against it (paying ~5-7%)
3. Buy more PRIME with borrowed stablecoins
4. Repeat — up to 9x in a single transaction

86% of all PRIME on Kamino flows through Multiply. This is the dominant use case and primary source of PRIME demand.

Borrow utilization capped at 90%, preventing unfavorable rate compression.

Yield Performance

Tranche-Like Risk Structure

ROLE	RISK	YIELD
Multiply (Junior)	First loss	**11-21%**
Stablecoin Lenders (Senior)	Protected by loopers	**4.8-5.6%**
PRIME Holders (Base)	Direct exposure	**~8%**

Fastest-Growing RWA on Solana.

Zero to $550M in under 3 months. Growth driven entirely by native yield demand — no liquidity mining, no token emissions, no artificial subsidies.

$550M Kamino PRIME Market (Feb 2026)	**~45%** Month-over-Month Growth	**$230M** Total Borrowed	**Zero** Bad Debt

Capacity Headroom

Figure's $8.4B annual volume provides substantial runway. Current PRIME market cap (~$300M) represents <25% of estimated Demo Prime eligible capacity. Demand currently exceeds lender supply — $288M borrower demand vs $263M available.

Independent Risk Rating

Allez Labs rated PRIME **7.1/10 (A) — Approved** in Jan 2026. Highest scores: Regulatory (8.5/AA), Dependency Resilience (8.5/AA), Backing Quality (8.0/AA), Team (8.0/AA). Pre-launch audit by Informal Systems. Zero incidents across 75+ days and $300M TVL.

RWA Ecosystem

Purpose-built consortium: Kamino (lending & Multiply), Chainlink (oracle + CCIP bridge), Raydium ($75M DEX liquidity), CASH by Stripe (stablecoin), Gauntlet (risk management), Exponent (yield stripping).

INSTITUTIONAL PARTNERS

FIGURE Goldman Sachs JPMorgan Sixth Street Chainlink Ondo Finance

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